

Flywire Corp. (NASDAQ: FLYW)

Sector: FinTech – Global Payments & Financial Software

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Team Introduction



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Company Overview & Investment Thesis

Founded in 2011, Flywire is a Boston-based payments platform known for enabling secure, localized tuition payments for universities worldwide.

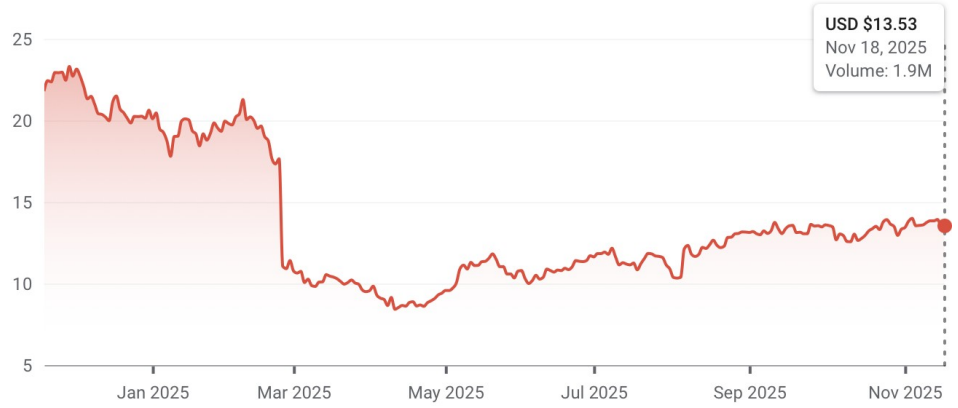
Investment Thesis Summary

Flywire is a vertical payments and software platform with durable growth drivers and a competitive moat. Benefiting from structurally rising cross-border payments demand, especially in higher education, and at the same time expanding into healthcare, travel and B2B to diversify revenue streams. Flywire's "payments + software" model creates high switching costs and strong client retention. With improving operating leverage, accelerating SaaS growth, and potential for margin expansion, Flywire offers an attractive risk-reward profile for long-term investors.

Geographic Presence



Stock Chart



Macro Context

HIGHER INTEREST AND INFLATION TIGHTENS GLOBAL BUSINESS BUDGETS

AUTOMATION = EFFICIENCY = LOWER COSTS

NON-DISCRETIONARY SPENDING LESS AFFECTED BY RECESSIONARY OUTLOOK

REGULATORY PRESSURE INCREASING IN CYBERSECURITY (AML/KYC)

RAISES ENTRY BARRIERS & INCREASES STRENGTH OF FLYWIRE'S MOAT

7M, projected 10M international students	$60B medical cross-border tourism	FX volatility managed through hedging

Competitive Landscape

- Digitization of global B2B payments market
- $150 Trillion+
- Vertical specialists are rewarded by regulatory tailwinds

flywire

Market Cap: $1.65B
Full stack: software + payments
Domain expertise, international integration

stripe

Valuation: $91.5B
Horizontal payment systems
Focused on retail level transactions

Ellucian

Valuation: $1.1B
Software focused
No proprietary global payment network

nelnet CAMPUS COMMERCE

Valuation: $602M
Education vertical only
Small network, limited global reach

Catalysts and Growth Drivers

Near-Term Catalysts (12-18

Accelerated Client Wins

Operating Leverage & Margin Expansion

Strategic Partnership Integration

1. Land
Secure an initial high-value payment flow, (e.g., international student tuition).

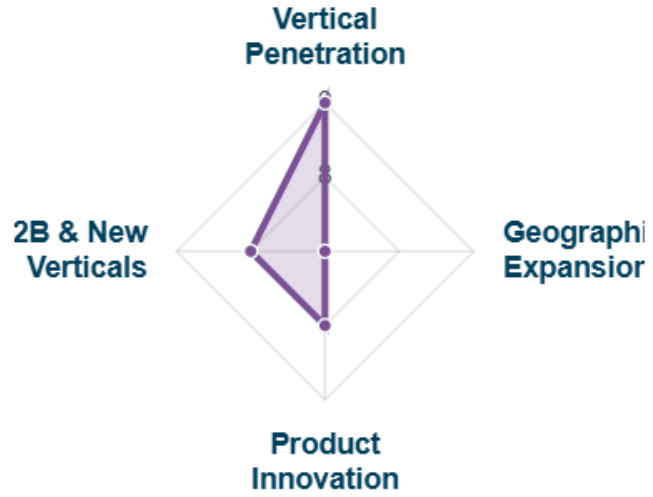
→

2. Expand
Expand to adjacent payment types (e.g., domestic tuition, housing, health plans).

→

3. Deepen
Embed value-added software (e.g., A/R management, billing) to become the core financial hub.

Long-Term Growth Drivers (3-5+



Key Risks & Mitigants

Risks	Mitigants
Flywire operates in 240+ countries and 140+ currencies, thus facing FX volatility and compliance regulations. FX swings may create recurring margin pressure.	Flywire reduces FX risk through localized settlement rails, hedging programs, and reporting FX-neutral metrics, the global compliance teams also help to manage regulatory complexity.
Flywire derives over 50% of revenue from higher education, which is related to international student enrollment. Visa caps can directly reduce tuition payment volume.	Flywire is diversifying into healthcare, travel and B2B to help reduce reliance on international student volumes.
Sertifi expands Flywire's travel vertical but carries integration risk, with over 70% of M&A failing to meet synergy goals, which may delay the expected SaaS revenue growth.	Flywire adopts an integration playbook from previous successful acquisitions and targets acquisitions that can expand high-margin SaaS revenue.

Valuation: A Significant Dislocation

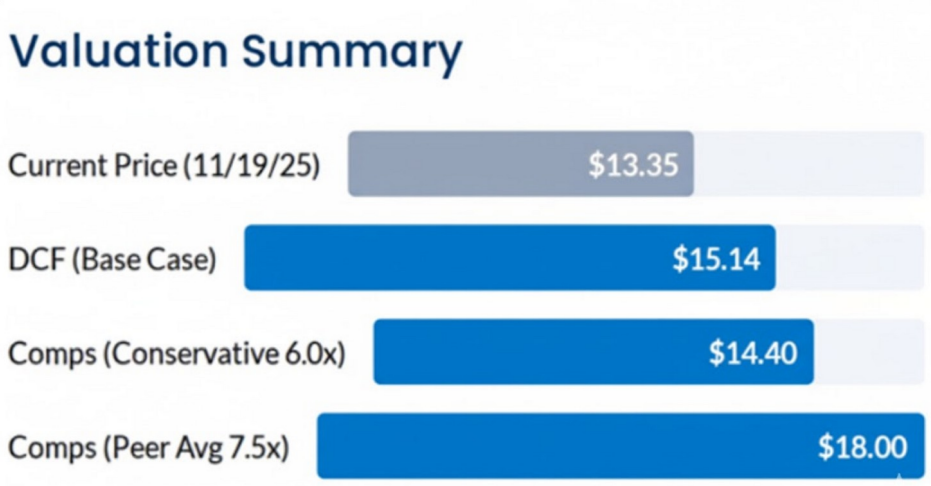
Comparable Companies Analysis

Company	EV/Rev	EV/EBITDA
Flywire (FLYW)	**2.4x**	**11.4x**
Shift4 (FOUR)	3.1x	10.2x
Adyen (ADYEN)	4.5x	19.1x
dLocal (DLO)	7.8x	10.8x
Peer Average	3.5x	10.1x

- Flywire currently trades at an EV/Revenue multiple of **2.4x**, which is a **~31% discount** compared to its Peer Average of **3.5x**.
- **Market Mispricing:** The market is failing to price in the rapid margin expansion expected in 2026-2027.

Discounted Cash Flow

- 10-Yr Revenue CAGR: **~14.5%** (Tapers from high 20s in near term)
- Terminal Adj. EBITDA Margin: **~25.0%** (Conservative expansion from current low double digits)
- WACC (Cost of Capital): **10.5%**
- Terminal EV/EBITDA Multiple: **14.0x**



Financial Analysis: Scenarios & Sensitivity

DCF sensitivity Analysis (Implied

We tested our $13.35 base case against the two most important assumptions: WACC and Terminal Margin.

WACC / Margin	28% (Low)	30% (Base)	32% (High)
10.5% (Bear)	$12.12	$13.50	$1480
9.5% (Base)	**$14.00**	**$15.14**	**$16.20**
8.5% (Bull)	$17.00	$18.40	$19.80

- **Resilient Model:** Even in a pessimistic scenario (11.5% WACC), the DCF model implies a value of **$10.95**, which is ~18% **below** the current stock price of $**13.35**. This suggests the market is currently pricing in performance that is slightly better than the DCF Bear Case

Scenarios Analysis

Bear Case: $12.12

Margins stagnate at 28% and interest rates remain elevated. Valuation remains flat.

Base Case: $15.14

Flywire executes "Land & Expand" strategy, hitting 30% margins. Stock re-rates.

Bull Case: $19.80

Accelerated software adoption drives margins to 32% + favorable rate cut environment.

BUY

Our recommendation: based on macro environment factors, valuation asymmetry, and growth potential in Flywire's landscape

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